Cable One, Inc.

Credit Review – August 2026

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Opportunity Overview

Cable One, Inc. is a facilities-based broadband and video provider serving mid-sized and rural markets under the Sparklight brand

- Single reportable segment, revenue driven by residential and business data, with legacy video and voice in structural decline
- Network is primarily HFC, essentially all gigabit-capable today, with multi-gig reaching most markets by year-end 2026
- Generated $1,441.6mm of LTM revenue and $752.6mm of LTM Adj. EBITDA (52.2% margin)

Ratings & Structure

- Corporate rating BB- / B2 (Negative), First Lien facility rating BB- / Ba3. $1.25B Revolving Credit Facility ($550mm drawn), Term Loan B-2, B-3 and B-4 rank pari passu First Lien

Investable Opportunity (as of 8/14/2026)

- $231.9mm Term Loan B-2 (S+225bps), due 10/30/2029 - Trading at $83.88, 12.2% YTW
- $729.9mm Term Loan B-3 (S+225bps), due 10/30/2029 - Trading at $84.00, 12.1% YTW
- $696.1mm Term Loan B-4 (S+200bps), due 5/3/2028 - Trading at $87.00, ~14.6% YTW - **(RECOMMENDED BUY)**

MBI Context

- GTCR's exercised put requires CABO to acquire the remaining ~55% of Mega Broadband Investments (MBI) for ~$480mm, consolidating ~$920mm of existing MBI debt and materially tightening PF covenant headroom

Investment Summary & Recommendation

Credit Profile

- Broadband franchise remains challenged by fiber overbuild, FWA competition and continued residential data subscriber pressure
- Underwriting assumes continued EBITDA decline ($752.6mm LTM → $586.1mm 2029E), not an operating recovery
- FCF remains meaningfully positive throughout the forecast, supporting standalone debt reduction through 2028
- Existing HFC network is gigabit-capable today and not facing an immediate capacity cliff

Capital Structure

- Standalone Net Leverage improves from 3.83x LTM to 3.56x by 2029E as FCF-driven paydown outpaces EBITDA decline
- Illustrative PF MBI leverage tightens covenant cushion to ~4.08x First Lien (4.25x max) / ~5.08x Total (5.50x stepped-up max)
- RCF, $345mm Converts and B4 mature within ~10 weeks of each other in early 2028
- First Lien recovery averages ~88% (Current Draw), meaningfully lower Fully Drawn

Recommendation: BUY B4

- B4: 87.00 price, ~14.6% YTW, S+200bps, matures 5/3/2028 - First Lien claim at the center of the 2028 refinancing mechanics
- CABO is structurally incentivized to address B4 through repayment or qualifying refinancing to reset B2/B3's springing maturity, successful resolution accelerates its pull-to-par, while failure increases refinancing pressure across the capital structure
- First Lien recovery is secondary downside support, not the primary reason for the BUY
- The credit does not require an operating turnaround: it requires CABO to remain cash-generative enough to reduce debt and preserve refinancing access through 2028

Business Description & Overview

~2.85mm
Passings (Q2'26)

~34%
Data Penetration

≤20%
Peak Network Utilization

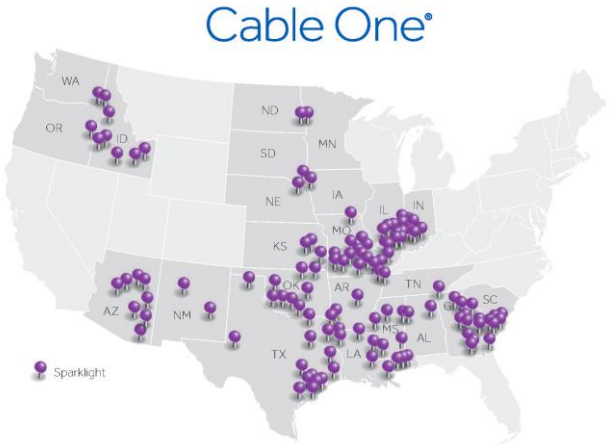
~80%
Footprint w/ FWA Overlap

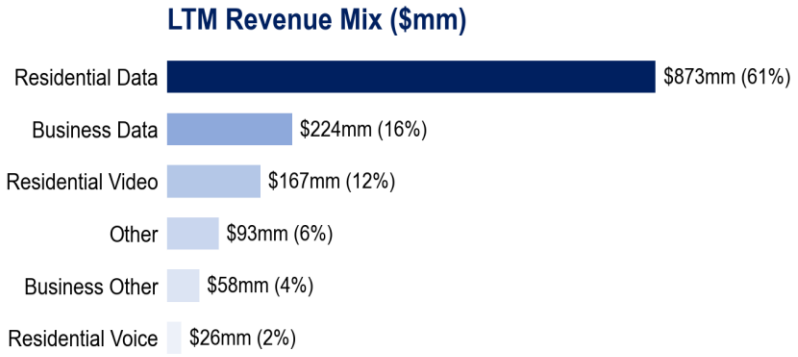
What CABO Sells

- Residential data is the core revenue driver (~61% of LTM revenue), legacy residential video (~12%) and voice (~2%) continue to decline structurally
- Business data and other services contribute ~20% of LTM revenue

Where CABO Operates

- Facilities-based broadband and video provider serving mid-sized and rural markets under the Sparklight brand, single reportable segment
- 2,847K passings as of Q2'26, up from 2,704K in FY22, data penetration has declined from 39.2% to 34.0% over the same period as subscriber losses have outpaced footprint growth





Sources: Company Filings

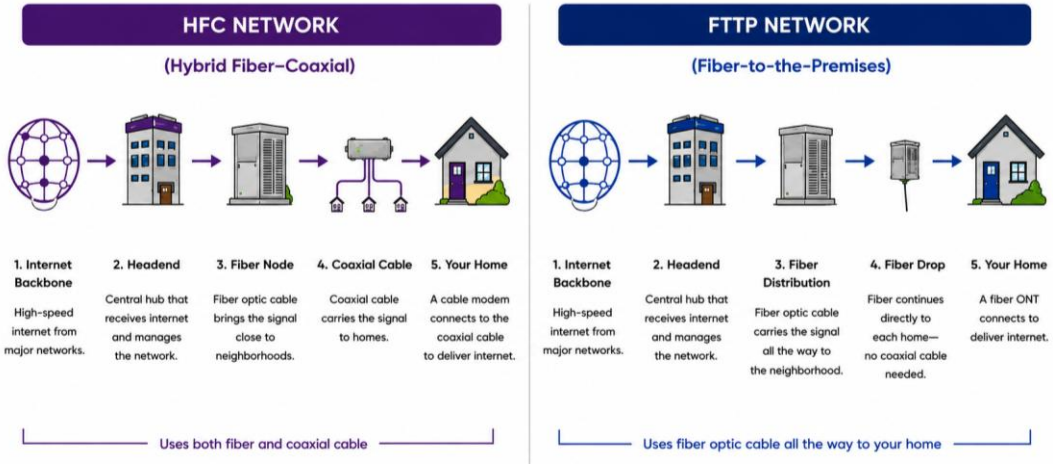
Business Description & Overview (Continued)

Network

- Primarily HFC (hybrid fiber-coax), FTTP (fiber to the premises) overbuild in ~10% of markets as of the Q4'25 call
- Essentially all of the network is gigabit-capable today, with multi-gig reaching the vast majority of markets by year-end 2026 - a capital-efficient upgrade of existing plant, per management
- Peak-hour network utilization runs at or below ~20% against ~835GB of average monthly usage per customer (Q4'25 call)

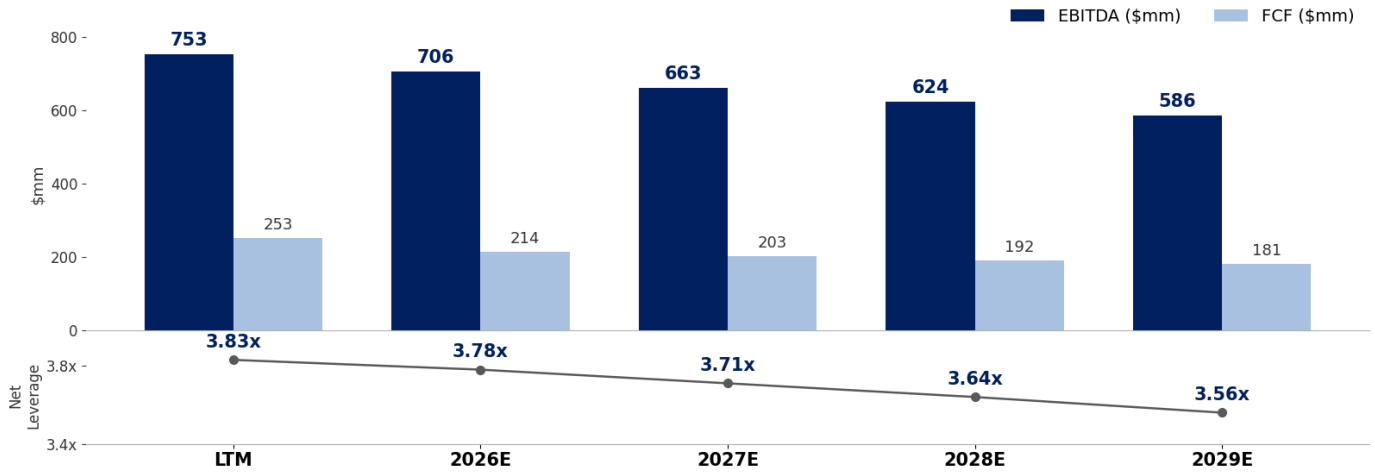
Competitive Position

- ~80% of the footprint carries at least one fixed-wireless access competitor as of the Q1'26 call, fiber overbuild is active in portions of the footprint
- FTTP offers superior long-term capacity and symmetry, but CABO's existing HFC infrastructure remains capable of meeting near-term bandwidth needs without an immediate network rebuild



FCF Supports Deleveraging Despite EBITDA Pressure

- EBITDA declines from $752.6mm LTM to $586.1mm by 2029E as residential data subscriber pressure continues
- FCF remains positive in every forecast year, from $214.3mm in 2026E to $181.4mm in 2029E
- Net Leverage improves from 3.83x LTM to 3.71x by 2027E, ahead of the 2028 refinancing event
- B4 does not require an operating turnaround to work: it requires continued cash generation through 2028



Longer-term monitoring point beyond the 2028 B4 horizon: a more conservative case lifts standalone Total Net Leverage toward ~4.9x by 2029E

Sources: Company Filings

MBI Compresses Covenant Cushion

MBI Transaction Overview

- GTCR's exercised put requires CABO to acquire the remaining ~55% of MBI (from ~45% owned today) for ~$480mm, expected to close October 2026, consolidating ~$920mm of existing MBI term debt that predates the put and carries no CABO guarantee today

Covenant Compliance: Standalone vs. Illustrative Pro Forma MBI

Scenario	FL Net Lev.	FL Max	FL Headroom	Total Net Lev.	Total Max	Total Headroom	Status
Current / Standalone (LTM)	2.94x	4.25x	1.31x	4.15x	5.00x	0.85x	PASS
PF MBI (Base Funding Case)	4.08x	4.25x	0.17x	5.08x	5.50x*	0.42x	PASS

**5.50x acquisition step-up, without it, PF Total Net Leverage of 5.08x breaches the 5.00x maximum. Assumes ~$33mm pre-close FCF applied first, ~$447mm via RCF / incremental debt.*

Covenant Treatment

- MBI debt is included in First Lien per Amendment No. 2, which deems consolidated MBI debt First Lien Indebtedness for leverage testing purposes

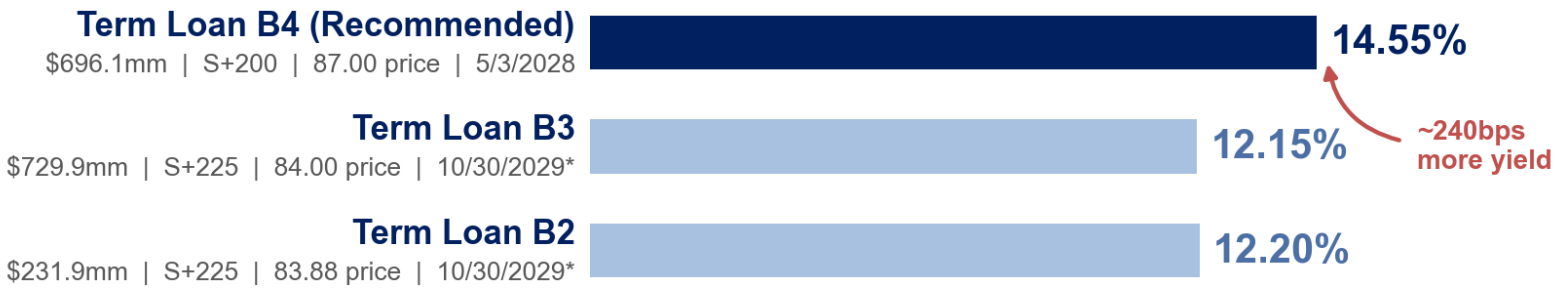
Recovery Treatment

- MBI's ~$920mm term debt remains structurally separate and non-recourse to CABO, and does not share in CABO collateral claims

- Covenant classification and legal recovery priority are separate concepts - MBI debt affects CABO's leverage tests without obtaining a claim on CABO collateral

Sources: Company Filings

B4 Offers the Clearest Path to Value Realization



**Springs to 5/3/2028 if applicable B4 or qualifying refi debt exceeds $150mm outstanding*

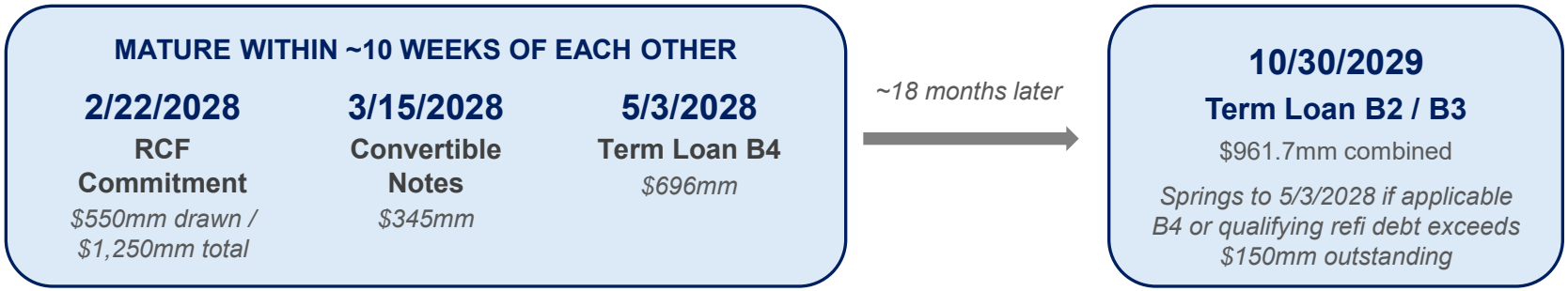
Capital Structure Pricing

- B4 offers ~240bps more yield than B2/B3 despite maturing about 18 months earlier, pricing in refinancing risk rather than credit deterioration
- B4's position in the maturity structure gives CABO a strong incentive to repay or refinance it with long-dated debt ahead of the 2028 refinancing event
- Refinancing into another short-dated instrument would not resolve it: over $150mm of qualifying B4 debt outstanding still springs B2/B3's maturities to May 2028

- B4 is the security CABO is structurally incentivized to address first, successful repayment or long-dated refinancing lets B4 capture the pull-to-par catalyst while B2/B3 retain their scheduled 2029 maturities. Failure to address it pulls B2/B3 forward and spreads refinancing pressure across the capital structure

Sources: Company Filings, Bloomberg

2028 Is the Key Underwriting Event



RCF, Convertibles, and B4 mature within ~10 weeks of each other in early 2028

- $550mm drawn of the $1,250mm total RCF commitment, $345mm Convertible Notes, and $696mm Term Loan B-4

RCF and B2/B3 each carry a B4-linked springing maturity provision

- Tied to the same ~$150mm outstanding B4 / qualifying B4 refinancing debt threshold

FCF-driven deleveraging reduces the refinancing requirement before 2028, but does not eliminate the maturity wall

- Standalone Net Debt falls from approximately $2,879mm LTM to approximately $2,462mm by 2027E, roughly $417mm of deleveraging achieved before entering the 2028 maturity complex

- Successful refinancing of the 2028 maturity complex depends on CABO continuing to generate FCF and reducing net debt ahead of the maturity wall.

Sources: Company Filings, Credit Agreement

First Lien Recovery Provides Downside Support

Current Draw ($550mm)

Stress EBITDA	3.5x	4.0x	4.5x
$650mm	100%	100%	100%
$550mm	85%	97%	100%
$450mm	69%	79%	89%

Fully Drawn Revolver ($1,250mm)

Stress EBITDA	3.5x	4.0x	4.5x
$650mm	76%	87%	98%
$550mm	64%	73%	83%
$450mm	53%	60%	68%

Selected sensitivities shown below. Full stress-grid average: ~88% Current Draw / ~70% Fully Drawn.

≥90% par | 75-89% minor impairment | 55-74% moderate | 35-54% material | <35% severe

- Current Draw: First Lien recovery averages ~88% across the full stress grid and reaches full recovery only at higher EBITDA and multiple combinations
- Fully Drawn: recovery falls to ~70% average as the additional RCF claims dilute First Lien coverage. At $500mm EBITDA and 4.0x, recovery is 67% Fully Drawn versus 88% Current Draw
- Fulcrum breakeven: First Lien is covered above ~3.0x to 4.0x EV/EBITDA versus today's implied ~4.1x. The recovery thesis assumes no residual value from CABO's MBI equity stake

- Recovery provides a second layer of protection, not the primary reason for the BUY

Sources: Company Filings

Investment Conclusion

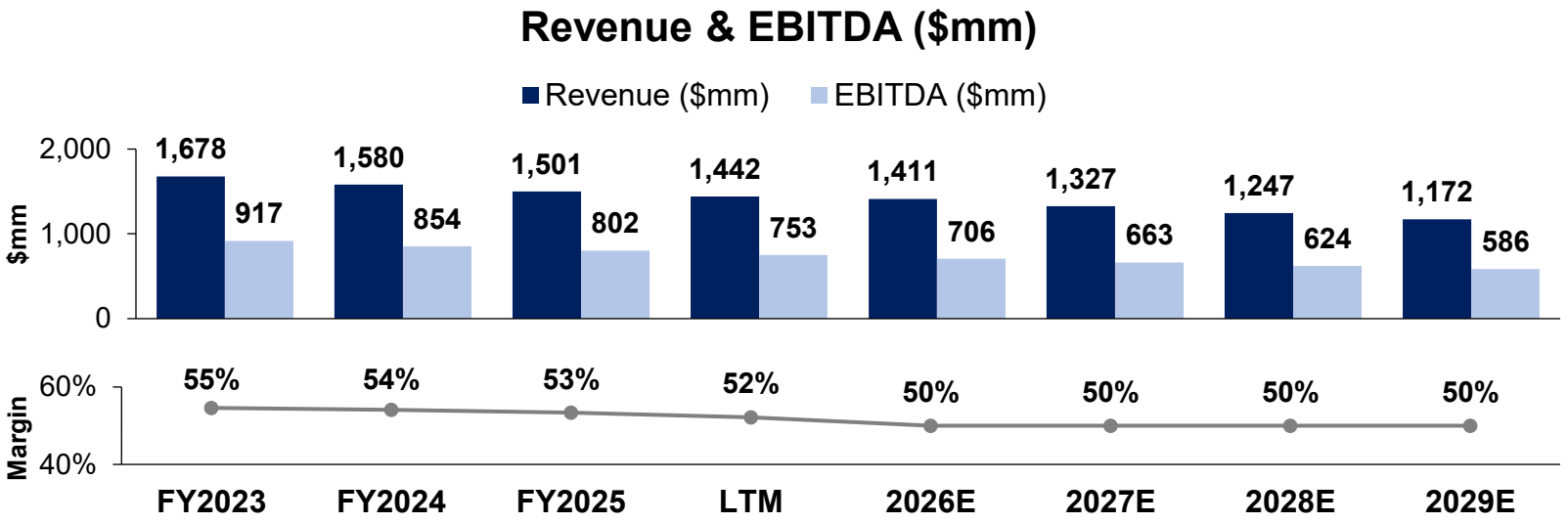
- The underwriting assumes continued EBITDA decline, not an operating turnaround. CABO's HFC network remains gigabit-capable with meaningful capacity headroom, limiting near-term technology-driven capex needs despite continued fiber and FWA competition
- CABO remains strongly FCF positive through the forecast despite EBITDA declining from $752.6mm LTM to $586.1mm in 2029E, supporting debt reduction and an improvement in standalone Net Leverage from 3.83x to 3.56x
- B4 is a priority within the 2028 maturity complex. Leaving it unresolved risks pulling B2/B3 and the RCF into the same refinancing window, giving CABO a strong incentive to repay B4 or refinance it with sufficiently long-dated debt
- First Lien recovery averages ~88% under the Current Draw stress grid versus B4's current price of 87, providing downside support without being required to drive the recommendation. Recovery falls to ~70% under a Fully Drawn RCF stress
- MBI materially increases leverage and reduces financial flexibility, with final transaction financing remaining the key near-term uncertainty. MBI's ~$920mm term debt remains non-recourse to CABO under the current structure
- At 87.00 and ~14.6% YTW, the underwriting supports a BUY without requiring operating stabilization. Continued FCF generation provides capacity to address the maturity wall, B4's springing mechanics create a strong incentive to address the loan, and First Lien recovery provides additional downside support

Recommendation: BUY B4

Sources: Company Filings, Bloomberg

Appendix

Operating Performance



($mm)	FY2023	FY2024	FY2025	LTM	2026E	2027E	2028E	2029E
Revenue	1678.1	1579.5	1501.4	1441.6	1411.3	1326.7	1247.1	1172.2
EBITDA	916.9	854.0	801.7	752.6	705.7	663.3	623.5	586.1
Margin (%)	54.6%	54.1%	53.4%	52.2%	50.0%	50.0%	50.0%	50.0%
FCF	292.1	377.8	278.1	253.0	214.3	202.6	191.6	181.4

Sources: Company Filings

Detailed Capital Structure

Instrument	Balance	Price	Spread	YTW	Maturity	Ranking
RCF ($1,250mm commitment)	$550.0mm	-	S+175	-	2/22/2028*	First Lien (pari passu)
Term Loan B2	$231.9mm	83.88	S+225	12.2%	10/30/2029*	First Lien (pari passu)
Term Loan B3	$729.9mm	84.00	S+225	12.1%	10/30/2029*	First Lien (pari passu)
Term Loan B4 (Recommended)	**$696.1mm**	**87.00**	**S+200**	**14.6%**	**5/3/2028**	**First Lien (pari passu)**
Total Secured Debt (1L)	**$2,207.8mm**					
4.00% Senior Notes due 2030	$502.6mm	38.46	-	31.0%	11/15/2030	Senior Unsecured
1.125% Conv. Notes due 2028	$345.0mm	43.32	-	62.3%	3/15/2028	Senior Unsecured
Finance Lease Liabilities	$2.9mm	-	-	-	Various	-
Total Debt	**$3,045.2mm**					

**Subject to springing maturity (B4-linked provisions)*

Selected Debt Comps

Borrower	Ratings	Maturity	Spread	Price	Yield	Gross Lev.	Total Lev.
Charter Communications	BB+ / Ba2	12/15/2031	S+225	96.75	6.6%	4.43x	4.41x
CSC Holdings / Optimum	CCC	4/15/2027	S+250	63.19	75.3%	8.57x	8.15x
Cable One (B4)	**BB- / Ba3**	**5/3/2028**	**S+200**	**87.00**	**14.6%**	**4.05x**	**3.83x**

Sources: Company Filings, Bloomberg

MBI Transaction Detail

TRANSACTION

- CABO holds a ~45% equity interest in Mega Broadband Investments (MBI) today, accounted for under the equity method
- GTCR's exercised put right requires CABO to acquire the remaining ~55%
- ~$480mm remaining purchase consideration
- Expected to close October 2026

BALANCE SHEET IMPACT

- Closing moves CABO from equity-method accounting to full consolidation of MBI's assets, liabilities and operating results
- ~$920mm of MBI's existing term debt is consolidated onto CABO's balance sheet
- That MBI debt predates the put and remains structurally separate and non-recourse to CABO today

FINANCING / LME

- Illustrative Base Funding Case: ~$33mm pre-close FCF applied first, remaining ~$447mm via RCF / incremental debt
- Final financing mix not yet disclosed by the company
- Proposed June 2026 MBI term debt exchange (cash plus new FLFO/FLSO CABO secured debt) drew only ~34% lender participation. CABO signaled in July 2026 it may not proceed
- No transaction targeting CABO's existing Term Loans has closed, but the FLFO/FLSO willingness remains a priority / LME risk to monitor as 2028 approaches

Sources: Company Filings